26CV00214 Tammy Finnerty-McQuade et al vs Robert E Nahm, Jr et al

County: santa-barbara

Division: Civil Law & Motion

Department: 5 SB-Anacapa

Hearing date: 2026-08-17

Motion: Motion re Right to Attach Order

Source URL: https://www.santabarbara.courts.ca.gov/tentative-ruling/26cv00214

Source SHA-256: 03928862eafaaea8d36926f3d87aeb188178bf498cb1ff90eea6337f3728f064

Tentative Ruling: Tammy Finnerty-McQuade et al vs Robert E Nahm, Jr et al

Case Number

26CV00214

Case Type

Civil Law & Motion

Hearing Date / Time

Mon, 08/17/2026 - 10:00

Nature of Proceedings

Motion re Right to Attach Order

Tentative Ruling

Tammy Finnerty-McQuade and Brian McQuade v. Robert E. Nahm, Jr., et al.

Case No. 26CV00214

Hearing Date: August 17, 2026

HEARING: Application of Plaintiffs for Right to Attach Order and for Issuance of Writ of Attachment

ATTORNEYS: For Plaintiffs Tammy Finnerty-McQuade and Brian McQuade: Anne Singer

For Defendants Robert E. Nahm, Jr., individually and dba Seacoast Yachts, Seacoast of Santa Barbara, Inc., and Seacoast of Channel Islands LLC: Jared M. Katz, Morgen P. Hopson, Mullen & Henzell L.L.P.

TENTATIVE RULING:

As set forth herein, the application of plaintiffs Tammy Finnerty-McQuade and Brian McQuade for a right to attach order and for issuance of a writ of attachment is granted in part and denied in part. The application is granted for a right to attach order as to defendant Seacoast of Santa Barbara, Inc., in the total amount to be attached of $399,429.27. The court will issue a writ of attachment as to defendant Seacoast of Santa Barbara, Inc., applicable to the property of Seacoast of Santa Barbara, Inc., only (but including property held under its registered fictitious business name of “Seacoast Yachts”), upon the filing of an undertaking in the amount of $10,000. In all other respects, the application is denied.

Background:

As alleged in the complaint of plaintiffs Tammy Finnerty-McQuade and Brian McQuade:

Starting in early 2025, plaintiffs began shopping for the purchase of a large yacht that they intended to live on as their home. (Complaint, ¶ 5.) Plaintiffs worked directly with defendant Robert E. Nahm, Jr., in their search for a yacht. (Ibid.) In September 2025, plaintiffs made an offer to purchase a 48-foot yacht that was being brokered by Nahm. (Ibid.)

The purchase price for the yacht was $357,500.00. (Complaint, ¶ 6.) Plaintiffs entered into a purchase agreement with the sellers (Sale Agreement) and tendered a deposit of $31,130.90 with their offer, which was accepted by the sellers on September 8, 2025. (Ibid.) Pursuant to the Sale Agreement, the balance of the purchase price was to be paid by plaintiffs to Nahm, who was to hold the funds for disbursement to the sellers in Nahm’s trust account and ultimately pay the sellers for delivery of the yacht. (Ibid.)

On September 10, 2025, plaintiffs wired the sums of $182,453.11 and $141,000.00 to the trust account of Nahm for a total payment of $354,584.01. (Complaint, ¶ 7.) For the next two weeks, plaintiffs proceeded with the process of selling off furnishings and packing all of their personal belongings with intention of moving permanently onto the yacht. (Ibid.)

The next day, plaintiffs received a text from Nahm informing them that he planned to transfer the funds to Wenthur Law Group the next day and that it would take ten days to two weeks to close the sale. (Complaint, ¶ 8.) As the weeks passed, plaintiffs received little to no information from either Nahm or Wenthur Law Group. (Ibid.) On September 30, 2025, plaintiffs received a text from Nahm advising them that the sale would close in 3 to 4 days. (Ibid.) It was later discovered that this representation was false because Nahm had wired the funds to some unknown third party posing as Wenthur Law Group and that the funds had been stolen. (Ibid.)

Nahm’s efforts to recover the funds from US Bank and through the Secret Service and FBI all failed. (Complaint, ¶ 8.) Over the months that followed, Nahm verbally took responsibility for the loss of plaintiffs’ funds and made multiple representations that he would make plaintiffs whole. (Complaint, ¶ 9.) On October 28, 2025, Nahm signed a Promissory Note (Note) promising to pay plaintiffs the total sum of $354,584.01 by December 31, 2025, plus any “additional expenses” to be negotiated. (Ibid.) The Note also states that if any funds are received in settlement from the insurance company such funds will be “immediately” paid to Plaintiffs. (Ibid.)

On January 13, 2026, plaintiffs filed their original complaint in this action asserting five causes of action against Nahm: (1) breach of promissory note; (2) breach of fiduciary duty; (3) negligence; (4) conversion; and (5) intentional infliction of emotional distress.

On February 24, 2026, Nahm filed his answer to the complaint, generally denying the allegations thereof and asserting 25 affirmative defenses.

On March 10, 2026, plaintiffs filed their first application for right to attach order and for issuance of a writ of attachment. The application was opposed by Nahm.

On March 23, 2026, plaintiffs filed amendments to their complaint identifying defendants “Doe 1” as Seacoast of Santa Barbara Inc. (Seacoast Inc.) and “Doe 2” as Seacoast of Channel Islands LLC (Seacoast LLC).

On April 17, 2026, the court denied the first application for right to attach order without prejudice.

On May 12, 2026, Seacoast Inc. and Seacoast LLC filed their respective answers to the complaint, generally denying the allegations thereof and asserting 26 and 27 affirmative defenses, respectively.

On May 29, 2026, defendants filed a joint motion for a protective order. This motion is set for hearing on September 14, 2026.

On June 5, 2026, plaintiffs filed this second motion for a right to attach order and for issuance of a writ of attachment against Nahm and also now against Seacoast Inc. and Seacoast LLC. The motion is opposed by each of the defendants.

On July 1, 2026, on the stipulation of the parties, the court entered a protective order.

On July 7, 2026, on the stipulation of the parties, the court entered an order staying discovery and law and motion proceedings, specifically excepting this motion for right to attach order and the motion for protective order set for hearing on September 14.

Analysis:

“Upon the filing of the complaint or at any time thereafter, the plaintiff may apply pursuant to this article for a right to attach order and a writ of attachment by filing an application for the order and writ with the court in which the action is brought.” (Code Civ. Proc., § 484.010.) A right to attach order and writ of attachment may only be issued after a hearing by the court. (Code Civ. Proc., § 484.040.)

“At the hearing, the court shall consider the showing made by the parties appearing and shall issue a right to attach order, which shall state the amount to be secured by the attachment determined by the court in accordance with Section 483.015 or 483.020, if it finds all of the following:

“(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

“(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

“(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

“(4) The amount to be secured by the attachment is greater than zero.” (Code Civ. Proc., § 484.090, subd. (a).)

“The court’s determinations shall be made upon the basis of the pleadings and other papers in the record; but, upon good cause shown, the court may receive and consider at the hearing additional evidence, oral or documentary, and additional points and authorities, or it may continue the hearing for the production of the additional evidence or points and authorities.” (Code Civ. Proc., § 484.090, subd. (d).)

“Inasmuch as the attachment procedures are purely the creation of the Legislature, the statute is subject to strict construction.” (Nakasone v. Randall (1982) 129 Cal.App.3d 757, 761; accord, Royals v. Lu (2022) 81 Cal.App.5th 328, 345.) As a purely statutory remedy, no provision of the Attachment Law (Code Civ. Proc., § 481.010 et seq.) requires a plaintiff to show an inadequate remedy at law before issuance of a right to attach order or writ of attachment. (See Code Civ. Proc., § 484.090, subd. (a).)

“Except as otherwise provided by statute, an attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars ($500) exclusive of costs, interest, and attorney’s fees.” (Code Civ. Proc., § 483.010, subd. (a).)

As to the first required finding that the claim upon which the attachment is based is one upon which an attachment may be issued, plaintiffs’ complaint asserts five causes of action. Four of these causes of action sound in tort; only the cause of action for breach of promissory note is an action based upon a contract. Thus, the only claim upon which the attachment may be based is the claim asserted in the first cause of action of the complaint.

The second required finding is that the plaintiff has established the probable validity of the claim upon which the attachment is based.

“A claim has ‘probable validity’ where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim.” (Code Civ. Proc., § 481.190.) “In determining the probable validity of a claim where the defendant makes an appearance, the court must consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation.” (Loeb & Loeb v. Beverly Glen Music, Inc. (1985) 166 Cal.App.3d 1110, 1120.) “The plaintiff has the burden of establishing the probable validity of the claim upon which the attachment is based.” (Rreef America Reit II Corp, YYYY v. Samsara Inc. (2023) 91 Cal.App.5th 609, 617.)

(A) Probable Validity of Claim Against Nahm

“A cause of action for breach of contract requires proof of the following elements: (1) existence of the contract; (2) plaintiff’s performance or excuse for nonperformance; (3) defendant’s breach; and (4) damages to plaintiff as a result of the breach.” (CDF Firefighters v. Maldonado (2008) 158 Cal.App.4th 1226, 1239.)

The contract at issue is the Note. (Complaint, ¶ 9 & exhibit A.) The evidence concerning the Note consists of a copy of the Note as attached as exhibit A to the declaration of attorney for plaintiffs, Anne Singer, and the declaration of Nahm stating that he executed a promissory note on October 28, 2025, in the principal amount of $354,584.01 in favor of plaintiffs on behalf of Seacoast Inc. (Singer decl., dated June 1, 2026, ¶ 1 & exhibit A [the Note]; Nahm decl., ¶¶ 6-8.)

Plaintiffs assert that Nahm is personally liable as a signatory of the Note under Uniform Commercial Code section 3402. Nahm argues that he signed the Note on behalf of Seacoast Inc.

“If a representative signs the name of the representative to an instrument and the signature is an authorized signature of the represented person, the following rules apply:

“(1) If the form of the signature shows unambiguously that the signature is made on behalf of the represented person who is identified in the instrument, the representative is not liable on the instrument.

“(2) Subject to subdivision (c), if (A) the form of the signature does not show unambiguously that the signature is made in a representative capacity or (B) the represented person is not identified in the instrument, the representative is liable on the instrument to a holder in due course that took the instrument without notice that the representative was not intended to be liable on the instrument. With respect to any other person, the representative is liable on the instrument unless the representative proves that the original parties did not intend the representative to be liable on the instrument.” (Cal. U. Com. Code, § 3402, subd. (b).)

As an initial matter, it is unclear that section 3402 applies to the Note. Section 3402 is in article 3 of the California Uniform Commercial Code, which applies to “negotiable instruments.” (Cal. U. Com. Code, § 3102, subd. (a).) With exceptions not applicable here, “ ‘negotiable instrument’ means an unconditional promise or order to pay a fixed amount of money, with or without interest or other charges described in the promise or order, if it is all of the following:

“(1) Is payable to bearer or to order at the time it is issued or first comes into possession of a holder.

“(2) Is payable on demand or at a definite time.” (Cal. U. Com. Code, § 3104, subd. (a).)

The Note is not payable to bearer or to order, but states only a promise to pay “Tammy and Brian McQuade (‘Lenders’).” (Note, § 2.) Accordingly, the Note appears not to be a negotiable instrument as defined under section 3104 and so section 3402 would be inapplicable to the Note.

The more general rule under contract law is that “[w]here the signature as agent and not as a principal appears on the face of the contract, the principal is liable and not the agent.” (Lippert v. Bailey (1966) 241 Cal.App.2d 376, 382.)

The signature block of the Note states as follows:

“This Note is effective as of the date first written above. The Borrower’s signature is required to make this Note legally binding.

“Borrower: Seacoast Yachts

“By: ________[signature of Nahm]

“Printed Name: Robert E. Nahm Jr.

“Title: Owner/ President

“Date: 10/28/25

“Lenders: Tammy and Brian McQuade

“________

“Tammy McQuade, Individually

“________

“Brian McQuade, Individually” (Note, § 9.)

In opposition, Nahm explains that the borrower “Seacoast Yachts” is the registered fictitious business name of Seacoast Inc. (Nahm decl., ¶ 7.) “ ‘[W]here a person or corporation elects to follow the statutory procedure of section 17900 et seq. of the Business and Professions Code [relating to fictitious business names], it has held itself out to those with whom it does business as having adopted that name for all business purposes. Notice to it under that name is all that the law requires.’ [Citation.]” (Savea v. YRC Inc. (2019) 34 Cal.App.5th 173, 179.) Plaintiffs present no evidence that the borrower of the Note was not unambiguously intended and understood as Seacoast Inc.

Whether applying the rule of California Uniform Commercial Code section 3402 or the common law rule, the signature block discloses both that the principal is Seacoast Yachts, an entity, and that, in contrast to the signature lines for the plaintiffs, which expressly states “individually,” the signature for Seacoast Yachts is by Nahm in a representative capacity only. Based on the evidence presented in support of this motion, the court concludes that plaintiffs have not shown that it is more likely than not that plaintiffs will obtain a judgment against Nahm based upon his direct liability on the Note.

Neither the complaint nor the motion assert any basis for liability arising out of contract against Nahm other than direct liability on the Note. The court therefore finds that plaintiffs have failed to meet their burden to show probable validity of the claim against Nahm. The application for right to attach order will therefore be denied as to Nahm.

(B) Probable Validity of Claim Against Seacoast LLC

Plaintiffs also seek attachment as to Seacoast LLC. As an initial matter, it should be noted that Seacoast LLC is not a named defendant in the complaint. Seacoast LLC is named as a party by “Doe” amendment as Doe 2. The complaint alleges generically, on information and belief, that the Doe defendants are agents, servants, employees, joint venturers, or co-conspirators of each other defendant. (Complaint, ¶ 4.) All of the charging allegations of the first cause of action of the complaint refer to “Defendant Nahm” and thereafter to “Defendant” in the singular, apparently referring solely to Nahm. (Complaint, ¶¶ 12-18.) There is therefore an issue regarding the nature of the claims asserted against Seacoast LLC.

With respect to the probable validity of the claim against Seacoast LLC, again plaintiffs have failed to meet their burden.

“The application shall be supported by an affidavit showing that the plaintiff on the facts presented would be entitled to a judgment on the claim upon which the attachment is based.” (Code Civ. Proc., § 484.030.) “The facts stated in each affidavit filed pursuant to this title shall be set forth with particularity. Except where matters are specifically permitted by this title to be shown by information and belief, each affidavit shall show affirmatively that the affiant, if sworn as a witness, can testify competently to the facts stated therein. As to matters shown by information and belief, the affidavit shall state the facts on which the affiant’s belief is based, showing the nature of his information and the reliability of his informant. The affiant may be any person, whether or not a party to the action, who has knowledge of the facts.” (Code Civ. Proc., § 482.040.)

The only evidence presented by plaintiffs regarding Seacoast LLC is the Note itself and that plaintiffs have been having difficulty with discovery in obtaining information regarding the defendants’ assets. (Singer decl., dated June 1, 2026, ¶ 1 & exhibit A; Singer decl., dated July 13, 2026, ¶ 6.) Apart from matters occurring as part of the litigation of this case, neither Singer declaration provides any facts showing affirmatively that attorney Singer could competently testify to the underlying facts of the transaction involving the Note on personal knowledge. As discussed above, Nahm affirmatively states in his declaration that “Seacoast Yachts”—the named borrower under the Note—is the registered fictitious business name of Seacoast Inc. and not of Seacoast LLC, and that Seacoast LLC is not a party to the Note. (Nahm decl., ¶¶ 7-8.)

There is thus no evidence presented by which Seacoast LLC is directly liable on the Note. As discussed above with respect to Nahm, an agent is not liable for contract obligations of a disclosed principal. There is no evidence presented of any other basis for liability generally asserted in the complaint as to Seacoast LLC. The court therefore concludes that plaintiffs have failed in their burden to show the probable validity of the contract claim against Seacoast LLC. The application for a right to attach order against Seacoast LLC will be denied.

(C) Probable Validity of Claim Against Seacoast Inc.

In opposition to the application, Seacoast Inc. not only provides its own evidence that Seacoast Inc. is liable under the Note, but admits that liability. (Nahm decl., ¶ 6; Seacoast Inc. Opposition, p. 4.) Plaintiffs have met their burden to show the probable validity of their claim against Seacoast Inc. in some amount.

Here, the claim against Seacoast Inc. is only readily ascertainable as to the promise to pay the principal amount ($354,584.01) and interest and is not readily ascertainable as to the “additional expenses.” The Note provides: “In addition to the principal amount, the Borrower agrees to pay the Lenders for certain additional expenses that are not yet quantified. The final amount of these expenses will be determined by mutual agreement of the parties upon the repayment of this Note.” (Note, § 3.)

“ ‘ “ ‘The fact that the damages are unliquidated is not determinative. [Citations.] But the contract sued on must furnish a standard by which the amount due may be clearly ascertained and there must exist a basis upon which the damages can be determined by proof.’ ” ’ [Citations.]” (Park v. NMSI, Inc. (2023) 96 Cal.App.5th 346, 359.) There is no standard for ascertaining amount of “additional expenses,” and so such additional expenses may not be included in the amount of the attachment.

(D) Remaining Issues as to Seacoast Inc.

Defendants argue that an undertaking is a prerequisite to plaintiffs’ application. “Before issuance of a writ of attachment, a temporary protective order, or an order under subdivision (b) of Section 491.415, the plaintiff shall file an undertaking to pay the defendant any amount the defendant may recover for any wrongful attachment by the plaintiff in the action.” (Code Civ. Proc., § 489.210.) This argument conflates the application for a right to attach order and a request for issuance of a writ of attachment. The initial step in an attachment proceeding is an application and hearing on a right to attach order. (Code Civ. Proc., § 490.090, subd. (a).) A writ of attachment is issued after granting the right to attach order and only after the filing of the undertaking. (Id., subd. (b).) So, while a writ of attachment may not be issued until an undertaking is filed, filing an undertaking is not a prerequisite to the filing of an application for either the right to attach order or for issuance of a writ of attachment.

Plaintiffs provide evidence that the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based. (Application, ¶ 4.) There is no persuasive evidence disputing this fact. The court finds that the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

The amount of Seacoast Inc.’s indebtedness claimed by the plaintiff and that is readily ascertainable is $354,584.01 plus interest. The Note provides for interest at the rate of 7.5 percent commencing September 10, 2025. Based on the principal amount, the daily interest is $72.86 (=$354,584.01 x 0.075/365). As of August 17, 2026, (341 days), the accrued interest is $24,845.26. The principal plus accrued interest is thus $379,429.27. There are no reductions asserted by Seacoast Inc. under section 483.015, subdivision (b).

“The plaintiff’s application for a right to attach order and a writ of attachment pursuant to this title may include an estimate of the costs and allowable attorney’s fees.” (Code Civ. Proc., § 482.110, subd. (a).) “In the discretion of the court, the amount to be secured by the attachment may include an estimated amount for costs and allowable attorney’s fees.” (Code Civ. Proc., § 482.110, subd. (b).) The Note includes an attorney fee provision (Note, § 7); defendants only contest the reasonable amount of attorney fees (Opposition, at p. 4).

Plaintiffs seek to include costs of $3,000 and attorney fees in the amount of $80,000. (Application, ¶ 8.) The court finds the estimated costs of $3,000 to be reasonable. Plaintiffs provide no evidence to support the estimated attorney fees of $80,000. Based upon the litigation in this matter, including the fact that the principal issues so far have focused on a different defendant and that Seacoast, Inc., has admitted liability under the Note, and based on the court's general experience in awarding attorney fees, the court finds that $20,000 is a reasonable estimate of allowable attorney fees and will add that amount to the amount to be attached.

The court therefore finds that the amount to be secured by attachment is $399,429.27, which amount is greater than zero.

Accordingly, the court will grant the application for a right to attach order against defendant Seacoast Inc.

"If, in addition to the findings required by subdivision (a), the court finds that the defendant has failed to prove that all the property sought to be attached is exempt from attachment, it shall order a writ of attachment to be issued upon the filing of an undertaking as provided by Sections 489.210 and 489.220." (Code Civ. Proc., § 484.090, subd. (b).) "If the court determines that property of the defendant is exempt from attachment, in whole or in part, the right to attach order shall describe the exempt property and prohibit attachment of the property." (Code Civ. Proc., § 484.090, subd. (c).)

The application is ambiguous as to the property to be subject to attachment in that in paragraph 9 only box c is checked ("Property of a defendant who is a natural person that is subject to attachment under Code of Civil Procedure section 487.010"). The application does not check paragraph 9 box a ("Any property of a defendant who is not a natural person."). The court understands paragraph 9 of the application in the context that plaintiffs have argued that "Seacoast Yachts" to be the business of Nahm as opposed to Seacoast Inc. Accordingly, the property subject to attachment is limited to the property of Seacoast of Santa Barbara, Inc., including property held under its registered fictitious business name of "Seacoast Yachts," but not to include property of Nahm individually.

"Before issuance of a writ of attachment, a temporary protective order, or an order under subdivision (b) of Section 491.415, the plaintiff shall file an undertaking to pay the defendant any amount the defendant may recover for any wrongful attachment by the plaintiff in the action." (Code Civ. Proc., § 489.210.)

"Except as provided in subdivision (b), the amount of an undertaking filed pursuant to this article shall be ten thousand dollars ($10,000)." (Code Civ. Proc., § 489.220, subd. (a).)

"If, upon objection to the undertaking, the court determines that the probable recovery for wrongful attachment exceeds the amount of the undertaking, it shall order the amount of the undertaking increased to the amount it determines to be the probable recovery for wrongful attachment if it is ultimately determined that the attachment was wrongful." (Code Civ. Proc., § 489.220, subd. (b).)

Seacoast Inc. has not objected to the statutory amount of the undertaking as inadequate and has provided no evidence as to the probable recovery for wrongful attachment. The court sets the amount of the required undertaking at $10,000.

Judges

Judge Colleen Sterne

Dept. 5 SB-Anacapa

1100 Anacapa Street P.O. Box 21107

Santa Barbara, CA 93121-1107

US